

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

ANSWER
OF RESPONDENTS SERVICE BY AIR, INC. AND
RADIANT CUSTOMS SERVICES INC. TO
COMPLAINANT CMI DISTRIBUTION, INC.'S VERIFIED COMPLAINT

Respondents Service by Air, Inc. and Radiant Customs Services, Inc. (the "Radiant Respondents"), answering the Verified Complaint of Complainant CMI Distribution, Inc. ("CMI"), hereby respond, allege and aver as follows:

1. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.
2. The Radiant Respondents admit Service by Air is a corporation organized and existing under the laws of New York with its principal place of business at 222 Crossways Park Dr., Woodbury, NY 11797. The Radiant Respondents deny this paragraph's remaining allegations.

3. The Radiant Respondents admit that Radiant Customs Services, Inc. is a corporation organized and existing under the laws of New York with its principal place of business at 405 114th Ave. SE, Third Floor, Bellevue, WA 98004; and that Radiant Customs Services, Inc. is an OTI bearing OTI License Number 9688. This paragraph's allegations regarding Radiant Customs Services, Inc. being subject to the Shipping Act, 46 U.S.C. §40101(19), are allegations of legal conclusions that do not require a response from the Radiant Respondents. To the extent this paragraph's allegations of legal conclusions do require a response from the Radiant Respondents, they deny the same. The Radiant Respondents deny this paragraph's remaining allegations.

4. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

5. The Radiant Respondents deny the allegations of this paragraph.

6. The Radiant Respondents deny the allegations of this paragraph.

7. The Radiant Respondents admit the allegations of this paragraph.

8. The Radiant Respondents deny the allegations of this paragraph.

9. The Radiant Respondents deny the allegations of this paragraph.

10. The Radiant Respondents deny the allegations of this paragraph.

11. The Radiant Respondents deny the allegations of this paragraph.

12. The Radiant Respondents deny the allegations of this paragraph.

13. The Radiant Respondents deny the allegations of this paragraph.

14. The Radiant Respondents admit Service by Air is not listed as a licensed OTI by the FMC. The Radiant Respondents deny this paragraph's remaining allegations.

15. This paragraph's allegations regarding agency are allegations of legal conclusions that do not require a response from the Radiant Respondents. To the extent this paragraph's allegations of legal conclusions do require a response from the Radiant Respondents, they deny the same. The Radiant Respondents deny this paragraph's remaining allegations.

16. The Radiant Respondents admit Radiant Customs Services, Inc. is listed as a licensed OTI. The Radiant Respondents deny it was formerly known as SBA Consolidators, and that it had a tariff on file with the FMC. This paragraph's remaining allegations consist of legal conclusions regarding tariff construction that do not require a response from the Radiant Respondents. To the extent this paragraph's allegations of legal conclusions of tariff construction do require a response from the Radiant Respondents, they deny the same.

17. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

18. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

19. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

20. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

21. The Radiant Respondents deny the allegations of this paragraph.

22. The Radiant Respondents admit the allegations of this paragraph.

23. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

24. The Radiant Respondents admit the allegations of this paragraph.

25. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

26. The Radiant Respondents admit CMI was assessed demurrage charges. The Radiant Respondents deny this paragraph's remaining allegations.

27. The Radiant Respondents deny the allegations of this paragraph.

28. The Radiant Respondents deny the allegations of this paragraph.

29. The Radiant Respondents admit the allegations of this paragraph.

30. The Radiant Respondents deny the allegations of this paragraph.

31. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

32. The Radiant Respondents admit Service by Air is not licensed pursuant to 46 U.S.C. §40901 and 46 C.F.R. §515.3. The Radiant Respondents deny this paragraph's remaining allegations.

33. The Radiant Respondents deny the allegations of this paragraph.

34. The Radiant Respondents deny the allegations of this paragraph.

35. The Radiant Respondents deny the allegations of this paragraph.

36. The Radiant Respondents deny the allegations of this paragraph.

37. The Radiant Respondents deny the allegations of this paragraph.

38. The Radiant Respondents deny the allegations of this paragraph.

39. The Radiant Respondents deny the allegations of this paragraph.

40. The Radiant Respondents deny the allegations of this paragraph.

41. The Radiant Respondents deny the allegations of this paragraph.

42. The Radiant Respondents deny the allegations of this paragraph.

43. The Radiant Respondents deny the allegations of this paragraph.

44. The Radiant Respondents do not have adequate information to admit or deny the allegations of this paragraph, and therefore deny the same.

The unnumbered allegation entitled “**Place of Hearing**” does not require a response from the Radiant Respondents. The Radiant Respondents do not object to CMI’s request for a hearing or that the hearing take place at FMC’s offices.

The Radiant Respondents deny that CMI is entitled to any of the relief requested in its prayer.

AFFIRMATIVE DEFENSES

1. CMI has failed to state a claim for which relief may be granted.

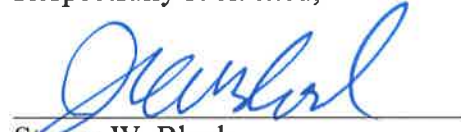
2. FMC lacks subject matter jurisdiction over CMI’s claims herein.

3. CMI’s damages, if any, were caused by its own breach of contract, negligence and/or other wrongdoing, such that CMI is barred, wholly or partially, from recovering from the Radiant Respondents therefor.

4. CMI’s damages, if any, were caused by the breach of contract, negligence and/or other wrongdoing of one or more third parties for which the Radiant Respondents are not responsible or liable, such that CMI is barred, wholly or partially, from recovering from the Radiant Respondents therefor.

5. CMI’s claims are time barred, wholly or partially, by the applicable statute of limitations.

Respectfully submitted,



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Attorney for Respondents

October 11, 2017

CERTIFICATE OF SERVICE

The undersigned certifies under penalty of perjury under the laws of the State of Washington that I am now and at all times herein mentioned, a resident of the State of Washington, over the age of eighteen years, not a party to or interested in the above-entitled action, and competent to be a witness herein.

On the date given below, I caused to be delivered upon the designated party below in the manner indicated, a true and correct copy of the following document filed in the case:

1. ANSWER OF RESPONDENTS SERVICE BY AIR, INC. AND RADIANT CUSTOMS SERVICES INC. TO COMPLAINANT CMI DISTRIBUTION, INC.'S VERIFIED COMPLAINT

David Street
Brendan Collins
GKG Law, P.C.
The Foundry Building
1055 Thomas Jefferson Street NW
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Washington, DC 20007
Attorneys for CMI Distribution, Inc.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

Phyllis Lang
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Taipei, Taiwan
LSA Freight System Ltd.

- ☒ Via First Class U.S. Mail
- ☐ Via Priority Mail Express
- ☐ Via Express Mail
- ☐ Via Hand Delivery
- ☒ Via Electronic Mail
- ☐ Via E-Service Within Clerk's online eFiling Application

I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 12th day of October, 2017.



Michelle Stark